

will only sell when the price action scares you. Most of the time when price action scares you, it is a buying opportunity, not a sell indicator.

What do you consider the worst trading mistake of your career?

My biggest mistake or pattern of mistakes was the way I traded the 2009 market.

I thought you had a big up year in 2009.

I was up 32 percent for the year, but I should have been up at least 45 to 50 percent. I am usually very good at riding big beta rallies. My failure to do so in 2009 caused me great angst at the time.

Why did you trade differently in 2009?

Normally, I let winners run and cut losers. In 2009, however, as a result of the posttraumatic effects of going through the September 2008 to February 2009 period—talking to clients who are going out of business and seeing 50 percent of your fund redeemed is all very wearing—I got into the habit of snatching quick 10 to 15 percent profits in individual positions. Most of these positions then went up another 35 to 40 percent. I consider my pattern of taking quick profits in 2009 a dreadful error that I think came about because I had lost a degree of confidence due to experiencing my first down year in 2008, even though the loss was consistent with the expected loss given the magnitude of the market decline. I was constantly worried that markets were about to turn down again, particularly in regard to all the new investors who came into the fund in the second quarter of 2009. I was painfully aware that these new investors did not have the cushion of my previous cumulative gains, and I worried about losing money for them. I was also more aware of my size in the market, as volumes did not recover to anywhere near precrisis levels, whereas the fund size was back to precrisis size by July 2009. I was concerned about being able to exit in a hurry if necessary. Basically, all these things made my trading more short term and hair trigger, which is absolutely not my style. Normally, if I like something, I stick with it.

I only stopped this damaging pattern in mid-2010 after I had given investors 12-month notice in March that the hedge fund was closing. This action had an immediate impact in reducing the size of the fund, as